Discussion of "Cost Coordination"

Florian Ederer[‡]

[‡]Yale School of Management

IIOC
May 14, 2022

An Intriguing New Paper

- **Disclosure Statement**
  - I am incredibly biased in favor of this paper given my own work on this topic.
  - I obviously encourage more (complementary) work on this topic.

An Intriguing New Paper

- **Disclosure Statement**
  - I am incredibly biased in favor of this paper given my own work on this topic.
  - I obviously encourage more (complementary) work on this topic.
- Theoretical contribution to the growing literature on real-world collusion
  - A formal model of collusion that takes organizational hierarchies seriously
  - Provides guidance for what antitrust policy should investigate

Main Takeaway

- Firms may prefer to collude on **costs** rather than on **prices**
- **Coordinating on costs** allows price discrimination
  - Preferable when there is greater market heterogeneity or product differentiation
- But cartel monitoring for compliance is more effective with **price coordination**
  - Colluding executive could deviate setting prices under **cost coordination** (on-path deviation)
  - Given IC constraints average price is higher with **price coordination**
- Antitrust policy should not just be focused on price coordination
  - Collusion might be more effective with cost coordination, particularly when price discrimination is important

Main Takeaway

- Firms may prefer to collude on **costs** rather than on **prices**
- **Coordinating on costs** allows price discrimination
  - Preferable when there is greater market heterogeneity or product differentiation
- But cartel monitoring for compliance is more effective with **price coordination**
  - Colluding executive could deviate setting prices under **cost coordination** (on-path deviation)
  - Given IC constraints average price is higher with **price coordination**
- Antitrust policy should not just be focused on price coordination
  - Collusion might be more effective with cost coordination, particularly when price discrimination is important
  - 😍 *"The general takeaway is that collusive conduct can be better understood by getting inside the firms comprising the cartel."* 😍

Adding More Realism

- Price coordination is an unrealistic benchmark
  - Top-level managers directly control prices so lower-level employees are useless
  - Or requires lower-level employees to be complicit because they obey the top manager
  - Cost coordination is informationally efficient
- Organizational hierarchy is such that there is no conflict between the top manager and the sales rep
  - But isn't that the central characteristic of many organizations?
  - Sales rep may care about product-specific profit and ignore within-firm coordination issues
- What if we allow the sales rep to be a whistleblower?
  - Imposes additional constraints on cost coordination because sales reps are still needed
  - May also make price coordination more difficult because lower-level employees may want to ring alarm if they see that pricing is not optimal

Examples and Testable Predictions

- Specific discussion of examples in which cost coordination occurred
  - Reader is referred to Harrington (2021) but it would be nice have specific examples and how they relate to the setup in the model
- Model makes sharp predictions about when we should observe cost coordination
  - Did the examples of cost coordination also involve substantial market heterogeneity or product differentiation such that price discrimination played an important role?
- Cost coordination requires setting lower average prices
  - Is this consistent with the anecdotal evidence?
  - Is it driven by incentive compatibility constraints to sustain collusion?
- Is internal organization (centralization vs decentralization) consistent with collusive practice?
  - Have firms previously claimed that they are not colluding because pricing decisions were delegated to lower-level employees?

Smaller Issues

- What happens when firms are not symmetric?
  - Harder to sustain collusion, but does it change the trade-off between cost and price coordination?
- If sales reps can verify costs would this change the predictions or are incentives fully aligned anyway?
- How sensitive are the results to assumptions about what is observable to other firms?
  - Monitoring costs seems a little less realistic than monitoring prices
- Organizational structure is hard to change but easy to observe
  - Is this really a realistic on-path deviation?
- How were the cost coordination cases discovered?

Even More Related Literature!

- Paper is very comprehensive in its discussion of the literature, but there are a couple of recent related papers that are currently **not mentioned** in the paper and also explore the interplay between industrial organization and organizational economics
- Lo, Dessein, Ghosh & Lafontaine (JLEO 2016) theoretically and empirically explore under what conditions (including market uncertainty and product differentiation) pricing decisions are delegated to lower-level managers
- Antón, Ederer, Giné & Schmalz (2021) analyze and empirically test the predictions of a model with a 3-level organizational hierarchy in which common shareholders reduce the cost-cutting incentives for top managers so as to indirectly raise the prices set by lower-level pricing specialists.

Conclusion

- What this paper says
  - Coordinating on costs can be superior to coordinating on prices because it allows for price discrimination
  - A simple collective surcharge is all that is required and it maintains the semblance of competition
- An intriguing paper
  - Recognizes that a novel and effective channel through which firms can collude
  - Suggests that future work in IO should study the interplay between competition and organizational structure